Research Statement

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My research studies how, beyond budget constraints and technological frontiers, people's economic decisions respond to a social environment shaped by history and politics, which I study through two lenses. The first is the persistence of inequality across space and between racial, ethnic or gender groups (Jayachandran, 2015; Goldin, 2024): I study the mechanisms that sustain it and evaluate the policies, markets and technologies that can mitigate it. The second is the political economy of a period of growing polarization, disenchantment with democracy and rising populism (Guriev and Papaioannou, 2022; Funke et al., 2023): I study how political leaders' decisions and cues shape the behavior of citizens and investors. I work at the frontier of development economics, political economy, and economic history, combining quasi-experimental, experimental, and archival methods with economic theory.

History and persistent inequalities.

Historical exclusion and neighborhood ties. My job market paper provides the first causal evidence that historical exclusion keeps dividing human capital after school supply and quality have converged, and identifies a mechanism that sustains the gap: the neighborhood ties that excluded groups rely on (Lomnitz, 1977; González de la Rocha, 1994). At its founding in 1542, Guadalajara settled the conquered population east of a creek, apart from the Spanish city and its Indigenous allies. Using a boundary discontinuity design and census data from 1930 to 2020, I show that school attendance has been 3 to 6 percentage points lower on the east side since 2000. In a survey, east-side parents share west-side aspirations and expected returns to schooling but receive help from their neighbors twice as often. In a pre-registered incentivized experiment, parents who draw their neighborhood on a map before, rather than after, choosing between math tutoring and gift cards demand 21% less tutoring, but only on the east side. In a framework of reciprocal exchange (Kranton, 1996), a child in school is less available to neighbors, earns later and is more likely to leave; the implied cost, about 2/5 of the return to schooling, accounts for the gap at the boundary. Historical exclusion can thus persist through the ties that helped excluded households cope, and not only through the resources it denied them. The paper builds on Baldomero-Quintana et al. (2025, *RSUE*), where we use a regression discontinuity design around the colonial *pueblos de indios* to show that Indigenous segregation still lowers land values in Mexico City by 5%, through low public goods, negative expectations and working-class sorting.

Skin tone and discrimination. Beyond spatial markers, physical markers can also drive persistent inequality, and in Latin America broad ethnoracial categories miss much of it. In Woo-Mora (2026, *JDE*), I show across 25 countries in the Americas that darker skin tones are associated with less education, lower income and lower absolute educational mobility, conditional on location and ethnoracial group. In *Skin Tone Penalties*, with Donia Kamel (under review), we provide causal

evidence of discrimination: skin tone changes how identical performance is judged (Bertrand and Duflo, 2017). Using computer-vision skin tone measures and shots that narrowly score or hit the frame in European football, we find that darker-skinned players get smaller rating boosts for the same marginal goal, and lower market valuations.

New Echoes of Deep Mexico?, a chapter with Pedro Torres-López prepared for the second volume of *Roots of Underdevelopment*, brings these strands together for Indigenous Mexico, revisiting Bonfil Batalla's *México Profundo* through a review of recent empirical work and new evidence from historical censuses and harmonized microdata on Indigenous identity, inequality, and institutions.

What can reduce persistent inequalities. Is there room for policies and markets to reduce such persistent inequalities? Two working papers suggest there is, when they build on local capacities and institutions. In *Embracing Modernity Pays*, with María Montoya-Aguirre and Emmanuel Chávez, we show that Mexico's cadastre modernization program raised municipal property tax revenue, which funds the local public goods that segregated places lack, by 10% within five years and 30% after eight, depending on local state capacity; we now study the political economy of which municipalities adopt the program and how it shapes its effects. In *Lifting Each Other Up*, with L. Guillermo Woo-Gómez, we show that cooperative firms foster local development, raising nightlights by 6–8% within four years of entry, as well as schooling and household assets, with the strongest effects in Indigenous communities, where historical disadvantage is deepest; with economic census data, we are now comparing cooperatives with similar firms to understand what drives these effects.

Politics, populism and polarization. My second lens asks how political leaders shape the behavior of citizens and investors. In Woo-Mora (2025, *EER*), I show that the populist cancellation of Mexico City's new airport, decided through an unofficial referendum with less than 1% turnout, reduced GDP by 3.3–4.5% within a year through higher uncertainty and lower investment. In *Moral Force, Contagious Force*, with María Montoya-Aguirre and Federico Daverio-Occhini (under review), we show that areas with more supporters of the president followed his cues against COVID-19 distancing and later in favor of vaccination: partisans respond to their leaders' cues rather than acting on fixed dispositions. In polarized settings, leaders' decisions and cues can thus carry immediate economic and health costs.

Research agenda. My job market paper suggests that historical exclusion can sustain inequality through a demand-side margin: inequalities persist not only through the systemic forces that created them, but through individuals' optimal responses to the social environment those forces left behind. A first step is to make the role of ties causal: in Guadalajara and beyond, I am designing experiments that offer temporary substitutes for what ties provide, a margin that also matters for relocation programs with low take-up (Chetty et al., 2016; Barnhardt et al., 2017).

Forced labor and credit. With Alex Rivadeneira, we ask whether another form of exclusion, forced

labor (Dell, 2010; Nunn and Wantchekon, 2011) through debt peonage on Mexican *haciendas*, leaves a similar imprint on another decision. People from municipalities with more exposure use less formal (but not informal) credit today (Guiso et al., 2004; Malmendier and Nagel, 2011), even after migrating. We will link hacienda exposure to administrative credit data and run a field experiment randomizing credit offers (Karlan and Zinman, 2008) to separate demand from supply. With the job market paper, it gives a fuller picture of demand-side persistence.

Criminal identity. Narcoculture —the values, consumption and aesthetics associated with drug trafficking— may influence youth's decision to engage in crime. If there are local markets for narcoculture, then emulation may be the optimal individual decision. With María Montoya-Aguirre, we study the market value of projecting a criminal identity in Mexico. We first validate visual markers of narco versus wealth through a novel methodology. Then, we conduct incentivized experiments with real estate agents, loan officers and school principals, randomly varying those markers in potential clients' photos. We also elicit young people's beliefs about the return of projecting a narco identity and explore their choices of narco goods. These experiments extend my work on *Skin Tone Penalties* from inherited to chosen markers.

Can technology close demand-side gaps? If inequalities persist through demand-side margins, technological change might make them fade. With Anna Barbeta-Margarit, María José González-Fuentes, and Aurora Gómez Galvarriato, we study whether disadvantaged groups gain more from a technology when they do not need to own it. Electrification can raise women's labor force participation (Dinkelman, 2011; Vidart, 2024); in Mexico between 1970 and 2000, rural electrification is associated with gains twice as large for Indigenous women. We are digitizing electrification plans and maize-mill records to test whether mechanized milling, which freed women from grinding maize by hand, explains them.

Where the two lenses meet: activated history. Politicians can reactivate memories of past conflict to mobilize nationalist and right-wing votes (Fouka and Voth, 2023; Ochsner and Roesel, 2024). In early-stage work, I explore whether similar mechanisms can inform left-wing populist voting by reactivating memories of past inequality and redistribution. I study how the current governing party revived the memory of former president Cárdenas, whose land reform broke up the haciendas whose legacy still shapes inequality. By combining information on redistribution intensity, local markers of memory, and exposure to presidential speeches, I will use a pre-registered survey experiment to test how memory activation depends on local memory, messenger credibility, and other memories, while separating historical framing from material interest. This project builds on my work on the persistence and cues of populism.

My research has been funded by ACES, the EHA, the PSE Stone Center and policy institutions such as CAF–Development Bank of Latin America and UNU-WIDER. Across both lenses, I aim to understand how social interactions, history and politics shape economic decisions, and which policies and markets can loosen their hold.

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